

Morgan Household Risk Review

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Advisor-facing risk review presentation based on saved scenario state.

Premature Death - Protection Gap

Modeled gap: \$2,360,061

INPUT SNAPSHOT

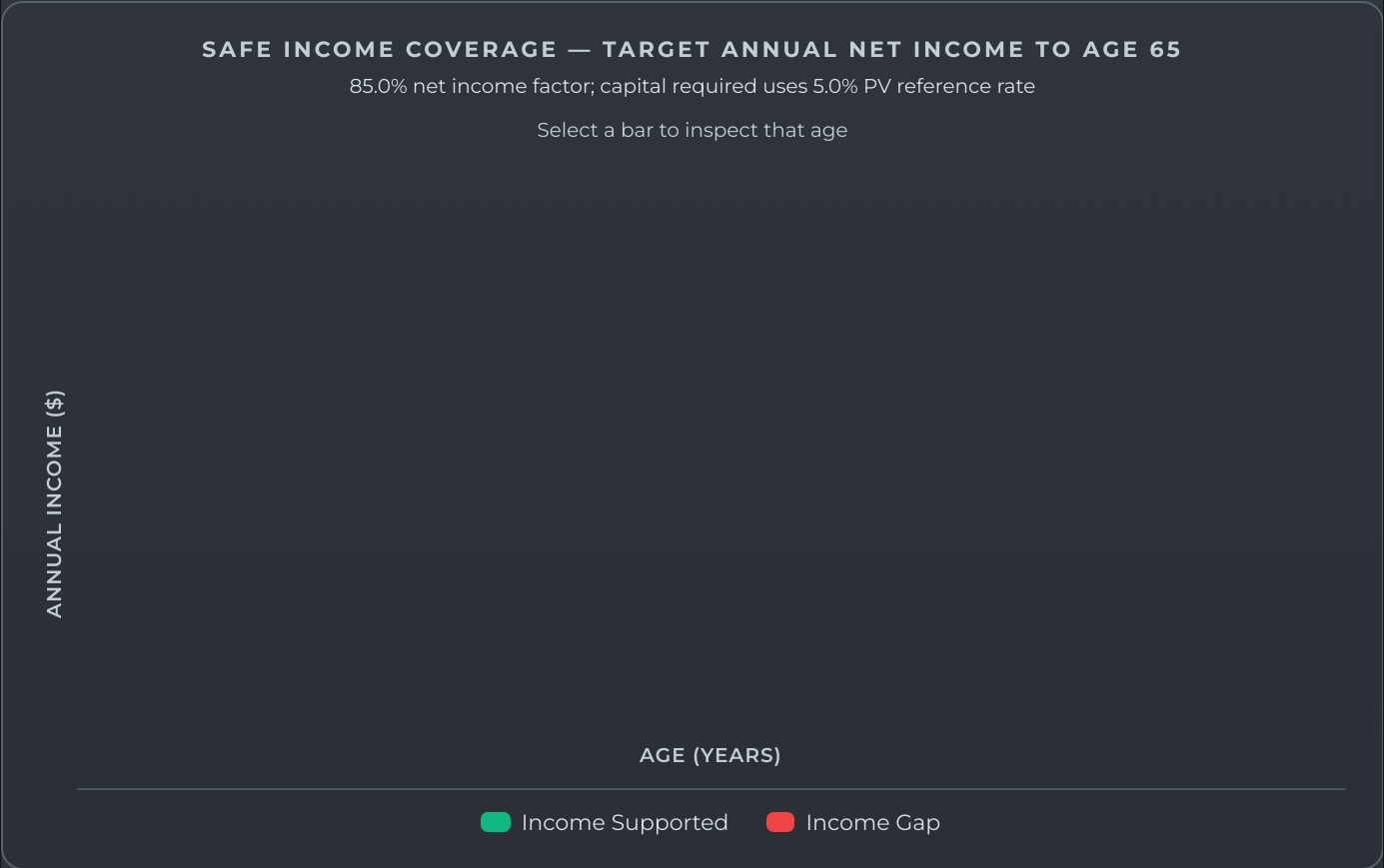
ANNUAL INCOME \$300,000	CURRENT AGE 41
RETIREMENT AGE 65	INCOME REPLACEMENT RATIO 70%
GROUP LIFE COVERAGE \$50,000	PRIVATE LIFE COVERAGE \$2,000,000

- SAFE INCOME COVERAGE
- COVERED RUNWAY SCENARIO

SAFE INCOME COVERAGE — TARGET ANNUAL NET INCOME TO AGE 65

85.0% net income factor; capital required uses 5.0% PV reference rate

Select a bar to inspect that age



PROJ. NET INCOME TO AGE 65 \$8,632,437 Full projected net income need	INCOME SUPPORT RATE 49.6%
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*Total safe income supported ÷ total projected income need;
constant across projected years*

TOTAL INCOME SUPPORTED

\$4,283,570

Supported target income stream

SURVIVOR GAP

\$4,348,868

Target support minus supported income

DEATH BENEFIT GAP

\$2,335,061

PV capital gap at 5.0%

Liability / Lawsuit - Asset Exposure

Modeled gap: \$1,280,804

INPUT SNAPSHOT

PRIMARY ANNUAL INCOME \$300,000	PRIMARY CURRENT AGE 41
SECONDARY ANNUAL INCOME \$85,000	SECONDARY CURRENT AGE 39
PROJECTION END AGE 65	GARNISHMENT RATE 25%
INCOME GROWTH RATE 3%	AUTO LIABILITY LIMIT \$500,000
EXISTING UMBRELLA \$1,000,000	HOME EQUITY \$325,000
INVESTMENT / TAXABLE \$180,000	BUSINESS OWNERSHIP \$0
LIQUID SAVINGS \$65,000	

LIABILITY PROTECTION STACK

Current coverage versus modeled household liability exposure

COVERED
54%

EXPOSURE AND COVERAGE (\$)

COVERAGE SCENARIO

AUTO LIABILITY

\$500K

EXISTING UMBRELLA

\$1.00M

UNPROTECTED GAP

\$1.28M

TOTAL EXPOSURE

\$2.78M

Projected wage exposure + assets at risk

TOTAL CURRENT COVERAGE

\$1.50M

Auto liability + existing umbrella

COVERAGE GAP

\$1.28M

Exposure minus current coverage

NEEDED UMBRELLA

\$2.00M

Coverage gap rounded up to a \$1M block.

Umbrella coverage levels shown are illustrative. Consult a licensed insurance professional for actual coverage guidance. Wage garnishment uses a simplified disposable-income proxy; actual garnishment rules vary by jurisdiction and case type. Umbrella coverage is commonly issued in \$1M increments. Needed Umbrella rounds the remaining modeled coverage gap to the next whole \$1M block.

Liquidity & Unemployment Risk

Modeled gap: \$13,500

INPUT SNAPSHOT

ANNUAL INCOME \$300,000	SPOUSE INCOME \$150,000
MONTHLY EXPENSES \$12,500	EMERGENCY SAVINGS \$9,000
NET INCOME PROXY 65%	MONTHLY SEVERANCE \$0
SEVERANCE DURATION 0 months	UNEMPLOYMENT BENEFIT \$0
BENEFIT DURATION 0 months	SEARCH DURATION 6 months

EMERGENCY RESERVE TARGET VISUALIZATION

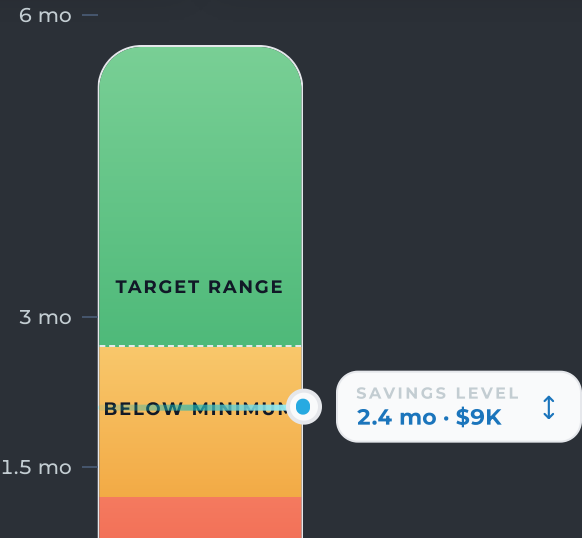
Below Minimum

Current liquid emergency savings measured against the monthly-gap minimum and six-month ideal target

RESERVE TARGETS

Calculated from Monthly Gap only.

3 MONTH TARGET \$11.3K Monthly gap × 3	6 MONTH TARGET \$22.5K Monthly gap × 6
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0 mo — **DANGER**

INTERACTION NOTE: Dragging the marker models liquid emergency savings only. Monthly Gap remains calculated from Monthly Expenses minus Remaining Income.

REMAINING INCOME

\$8.8K/mo

Net household income remaining

MONTHLY GAP

\$3.8K/mo

Expenses – remaining income

LIQUID EMERGENCY SAVINGS

\$9K

Drag marker updates this value

CURRENT RUNWAY

2.4 mo

Savings ÷ monthly gap

Remaining income is estimated using a 65% net income proxy. Actual net income varies by jurisdiction and tax situation. Reserve targets and search-period shortfall are illustrative estimates. Actual needs vary based on benefit eligibility, severance terms, and local cost of living.

Disability / Illness - Income Collapse

Modeled gap: \$2,115,175

INPUT SNAPSHOT

ANNUAL INCOME \$300,000	CURRENT AGE 41
RETIREMENT AGE 65	LTD COVERAGE 60%
LTD MONTHLY CAP \$10,000	LTD TAXABLE Yes (70% net assumption)
INDIVIDUAL DI BENEFIT \$7,500/mo	DI BENEFIT PERIOD To age 65

- INCOME GAP
- PREMIUM VS SELF-INSURED
- JOB A VS JOB B
- ASSET COMPARISON

INCOME VS. DISABILITY COVERAGE — ANNUAL PROJECTION

ANNUAL BENEFIT (\$)

COLA included ☒

Net ☒ Gross ☐

ASSUMED INCOME (NET)

\$17,500/mo

Monthly income basis used for the selected view

GROUP LTD (NET)

\$7,000/mo

Net after-tax LTD monthly benefit

INDIVIDUAL DI

\$7,500/mo

Private disability insurance benefit

TOTAL BENEFIT (NET)



\$14,500/mo

Combined LTD
+ individual DI
monthly
benefit

INCOME
LOSS (NET)

\$3,000/mo

Assumed net
income minus
total net
monthly
benefit

LIFETIME COVERAGE

Group LTD	\$2,016,000
Individual DI	\$3,098,383
Total Replaced	\$5,114,383

LIFETIME INCOME (NET)

Projected Income	\$7,229,558
Income Gap #1	\$5,213,558
Income Gap #2	\$2,115,175

OUTCOME

Gap Difference	\$3,098,383
IDI Expense	\$10,944
Monthly Premium	\$38/mo



For illustrative planning purposes only.